

SHEIN

International Brand & Market Analysis

1. What SHEIN Does

- Product range: cost-effective fast-fashion clothing, initially women-focused and expanding into men's, children's clothing, beauty, shoes and accessories.
- Direct-to-consumer model supporting competitive pricing by removing middlemen.
- Affordability and rapid, fashion-forward design aimed at young global consumers.
- Digital e-commerce platform supported by social-media and influencer partnerships.

2. Challenges and Ethical Commitments

- Labor concerns: wages, working conditions and labor rights in supply chains.
- Environmental criticism linked to waste and resource depletion.
- Commitments presented: eco-friendly product line, independent auditors, carbon-footprint reduction and recycling programs.
- Consumer pressure is increasing around sustainability and ethics.

3. Global Expansion Timeline

2008 — Foundation	Chris Xu; Nanjing, China; initially women's apparel, especially wedding dresses; domestic focus.
2012 — Globalization	Shift toward global markets; affordable/trendy fashion for young international customers; online distribution.
2015 — Rebranding & Growth	SheInside renamed SHEIN to improve branding and searchability; stronger recognition in Western markets.
2019 — Shift to Singapore	Singapore is presented as a neutral and international-friendly business hub amid political tensions in China.

2020 — COVID-19 Boom	Revenue surge to \$10 billion, linked in the deck to online-shopping demand, influencer marketing and social media.
2022 — Peak Valuation	Valuation presented as \$100 billion; 40 European pop-up stores mentioned.
2023 — Continued Growth	Estimated revenue of \$32.2 billion; strong presence in North America, Europe and Asia.

4. Revenue Growth

The deck presents 2015 revenue as being in the hundreds of millions, followed by \$10 billion in 2020, about \$15.7 billion in 2021, \$23 billion in 2022 and an estimated \$32.2 billion in 2023. The presentation links growth to product expansion, rapid trend response, digital marketing, influencer activity and international market penetration.

5. Regional Market Breakdown

North America — 50%	Largest contribution in the presentation; the United States is identified as the major market, supported by affordable products, influencers and social-media engagement.
Europe — 30%	UK, France and Germany identified as key markets; European pop-up events support visibility.
Asia — 20%	China, India and Southeast Asia identified as relevant markets with rising e-commerce and fast-fashion demand.

6. Source of Revenue & Currency Exposure

For 2022, the deck presents approximately \$8 billion from North America, \$4.8 billion from Europe and \$3.2 billion from Asia. It then discusses USD, EUR and CNY exposure.

- USD: major exposure because of North American sales.
- EUR: linked to major European markets.
- CNY: linked to Asian markets; the deck uses approximately 1 USD = 7 CNY as an exchange-rate consideration.
- The figures are retained as presented in the original deck and are not reconciled across slides.

7. Supply Chain & Value Chain

The presentation uses the industry value-added 'smile curve' and argues that SHEIN focuses on higher-value R&D and brand marketing while outsourcing production and manufacturing.

7.1 On-Demand Model

- Initial product batches of about 100–200 items.
- Real-time customer feedback.
- Restocking products that show demand.
- The model is presented as reducing demand-supply mismatch and overproduction.

7.2 C2M and R&D

The C2M (Customer-to-Manufacturer) model combines demand data from fashion websites with design. The deck states that it reduces intermediaries and allows faster response to market demand.

7.3 Distribution and Inventory

Overseas warehouses are presented as supporting faster logistics, shorter international shipping time, reduced impact from cross-border tariffs, improved inventory turnover and stronger cash-flow movement.

7.4 Supplier Network

The deck describes more than 3,000 suppliers and vendors in China and a digital supplier-management system for communication and monitoring.

8. ESG Efforts

- ESG is presented as an environmental, social and governance evaluation framework.
- The deck links ESG to risk control, financial performance and international investment.
- The 2023 U.S. IPO application is discussed alongside labor and environmental criticisms.
- Sustainability actions presented earlier include eco-friendly products, independent audits, carbon reduction and recycling.

9. Potential Currency Risks

- Transaction risk.
- Translation risk.
- Economic risk.
- Mitigation approaches shown: pricing strategies and prioritizing security, cash flow and investment.

10. Political Risks

- UK/EU sustainability and labor laws could increase operating costs.
- Supply-chain transparency requirements may affect operations.
- Political pressure on fast fashion could result in tariffs on low-cost goods.
- China–US trade tensions could raise costs through tariffs or sanctions.
- Consumer activism and public-image concerns could affect investor confidence.

11. Taxation Issues

- Changes in corporate tax rates and import duties can affect competitiveness and financial performance.
- The deck discusses the U.S. de minimis loophole for low-value shipments from China.
- It references proposed U.S. legislation to close the loophole for apparel and notes possible consumer-price and demand effects.
- Brazil and France are also identified as countries where SHEIN has faced taxation-related problems.

12. Conclusion

The presentation frames SHEIN's international story around rapid growth and market dominance alongside ethical, environmental, regulatory and economic challenges. Sustainability and adaptability are presented as important considerations for future growth.

13. References Listed in the Original Deck

· SCM Insight; SHEIN Group business model and supply-chain pages; SHEIN impact reports; Business of Fashion; BBC; Forbes; The Guardian; Statista; Business2Community; Vox; Bloomberg.